NORTHSTAR
DIGITAL SERVICES

Team Budget and Expense Approval Policy

MANAGER • HR

Policy document • Version 1.0 • Effective date: 15 October 2026

Prepared as synthetic content for a role-based retrieval-augmented generation (RAG) demonstration. This document is not an actual company policy.

Access classification: MANAGER • HR

1. Purpose and spending authority

Policy owner: Finance / HR

Purpose

This policy defines how managers plan team budgets and approve business expenses at fictional Northstar Digital Services. Finance is the control owner; managers must follow the current delegated authority matrix.

Budget principles

Spend only for legitimate business needs, within an approved budget and for the intended cost centre. A budget allocation is not automatic permission to bypass procurement, security, privacy or legal review.

Illustrative thresholds

For this demo only, a manager may approve routine expenses up to ■25,000 per transaction, a department head up to ■1,00,000, and Finance approval is required above that. These figures are fictional examples and must be replaced before real use.

No splitting

Do not divide a purchase into smaller transactions to avoid an approval threshold. Related purchases should be assessed together when required by procurement rules.

Pre-approval

Obtain approval before committing company funds, signing a vendor agreement or making a non-refundable booking. Retrospective approval should be limited to documented emergencies and reviewed by Finance.

Separation of duties

Where practical, the requester, approver and payment processor should be different people. Managers must not approve their own expenses or expenses where they have an undisclosed personal interest.

2. Request and approval workflow

Policy owner: Finance / HR

Business case

The request should describe the business purpose, expected benefit, cost estimate, cost centre, timing, vendor and any recurring commitment. Include alternatives where material.

Budget check

Confirm remaining budget and whether the expense is capital, operating, travel, software or another defined category. Ask Finance when classification is unclear.

Vendor and security checks

Use approved suppliers where required. New software or services may need procurement, IT security, privacy, legal or data-processing review before purchase.

Approval evidence

Approvals must be captured in the official finance or procurement system. A chat message may not satisfy formal control requirements unless the current process explicitly allows it.

Invoice and receipt

Ensure invoices describe the goods or services received and match the approved order. Employees should submit itemized receipts and accurate business purpose information.

Exceptions

Urgent purchases, budget overruns, unusual payment terms or related-party vendors require escalation to Finance and other relevant control owners. Managers should not promise a vendor that approval is guaranteed.

Recurring subscriptions

Record renewal dates, owner, seat count and cancellation terms. Review usage periodically and cancel unneeded services according to contract terms.

3. Monitoring, exceptions and examples

Policy owner: Finance / HR

Monthly monitoring

Review committed and actual spend, forecast variances, upcoming renewals and open purchase orders. Explain material deviations and propose corrective actions early.

Scenario: request exceeds authority

Do not split the transaction. Submit the full business case to the next authorized approver and wait for written approval before committing funds.

Scenario: employee submits missing receipt

Ask for the missing documentation or the approved lost-receipt declaration. Do not approve an expense that cannot be reasonably substantiated under policy.

Scenario: vendor offers a personal gift

Pause the decision, disclose the offer and consult Procurement or Compliance. Do not allow a gift to influence selection or negotiation.

Scenario: budget is exhausted

Review business criticality, deferrable items and available transfers. Obtain Finance approval for any reallocation before making a commitment.

Audit and retention

Finance may sample transactions and compare requests, approvals, invoices and payment records. Managers must preserve records and respond to audit questions.

Ownership

Finance owns this policy and its authority matrix. The current approved matrix, procurement standards and local tax rules supersede the illustrative thresholds in this sample.